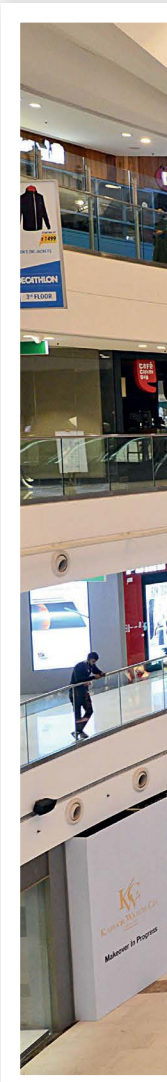
ECONOMY

THE GROWTH DILEMMA

Inflation, rising unemployment and stagnant incomes continue to be matters of concern for a majority of Indians, fuelling scepticism about the long-term impact of the government's policies

By M.G. ARUN



FALLING FOOTFALLS
Income squeeze dampens urban spending

India's post-Covid economic rebound has lost steam, weighed down by sluggish consumption, tepid private investment and an adverse global trade and geopolitical environment. Growth is projected to taper down to 6.4 per cent in FY25 from 8.2 per cent in FY24, according to government estimates. The Reserve Bank of India (RBI) forecasts it to only marginally rise to 6.7 per cent in FY26. Compounding these challenges are policy uncertainties posed by the new Donald Trump regime in the US, signalling a turbulent road ahead for the Indian economy.

Against this backdrop, Budget 2025 saw the Narendra Modi government unveil an unprecedented bonanza for the salaried class, which numbers around 32 million. The budget's income tax exemptions mean that individuals earning up to Rs 12 lakh annually will pay no income tax—a move aimed at boosting disposable income and stimulating urban consumption. While this alone may not be a game-changer for growth, higher spending is expected to spur private investment, creating a positive ripple effect on the economy. In any case, the government has sent a clear signal that its policies are geared toward addressing economic challenges and middle-class concerns—an approach that has found some resonance with the public.

When asked to rate the Modi government's handling of the economy, 52.3 per cent of the respondents in the latest Mood of the Nation (MOTN) poll describe it as outstanding or good—slightly higher than in the August 2024 survey. However, 28.8 per cent also rate it poor or very poor, up from 25 per cent previously, suggesting lingering economic concerns. That the Centre has reason to be concerned is evident from the responses on the economy's outlook for the next six months: only 34 per cent believe it will improve, while 57 per cent expect it to either worsen or remain unchanged. This persistent lack of optimism is what was reflected in the Bharatiya Janata Party (BJP)'s lower-than-expected seat count in the 2024 general election. The sentiment appears to have further deteriorated since the last MOTN survey, when 38 per cent foresaw economic improvement and 50.6 per cent anticipated stagnation or decline.